

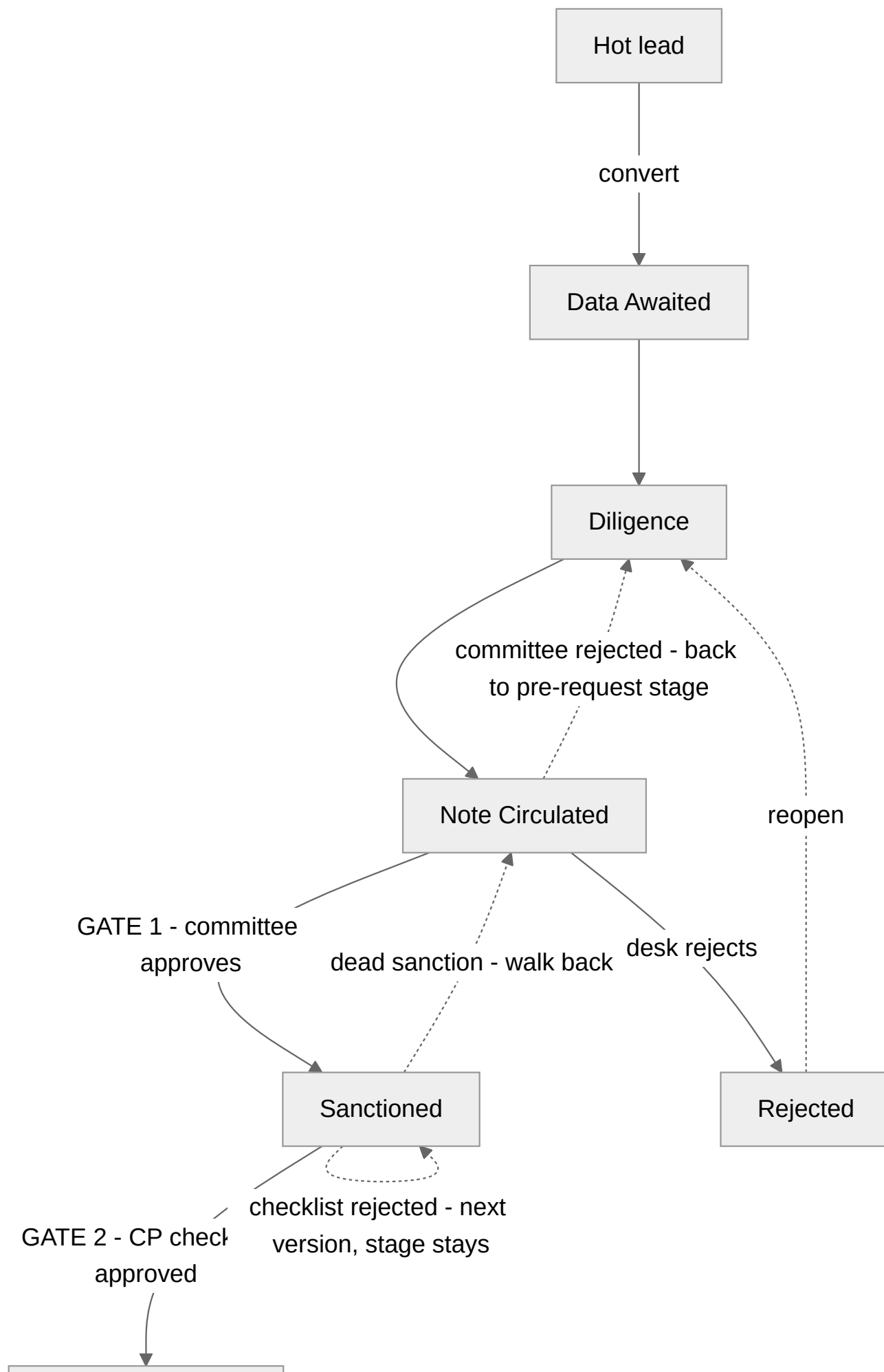
The credit pipeline — gates, verdicts and conclusions

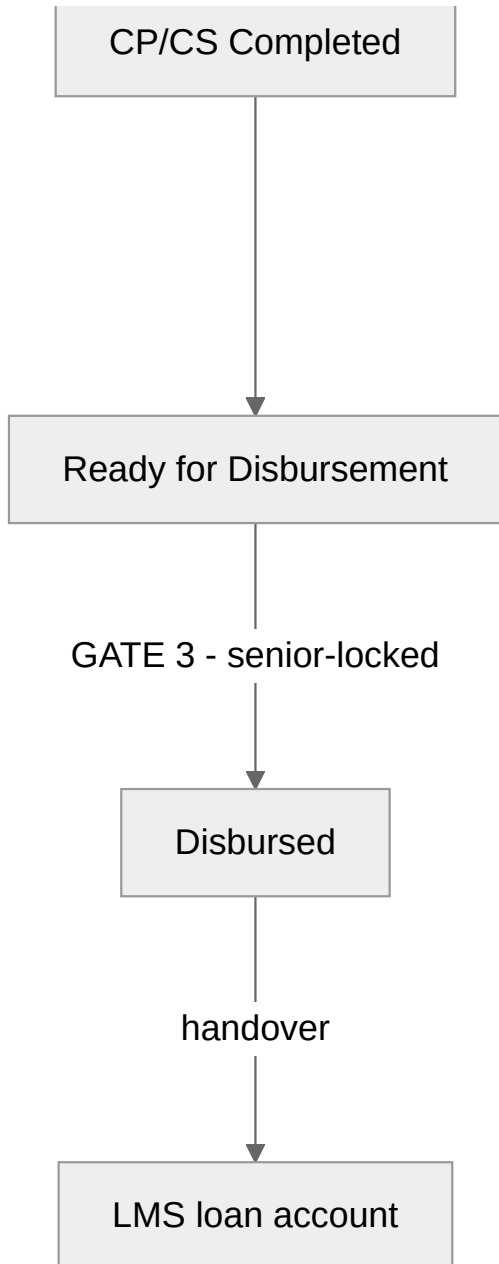
How a lending line travels from a hot lead to money moving, exactly as the platform enforces it: three gates, what each verdict does, and the only ways a line — and the deal above it — can conclude. Every rule here is the code's rule, not a convention: the file that enforces each one is named beside it.

The short version:

- Three gates stand between a lead and a disbursement: the **credit committee**, the **CP checklist** (maker–checker), and **Disburse** itself.
 - Every rejection is recoverable and permanently on record. Nothing concludes silently.
 - Stages only move by committee decision or desk action — never as a side effect of a checklist verdict.
 - Only two stages conclude a lending line: `Disbursed` and `Rejected`.
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The map





The dotted edges are the recovery paths. `On Hold` (not drawn) parks any working stage and resumes to any pipeline stage — parking, never a conclusion.

The stage graph itself lives in one place and is enforced everywhere: `packages/evam-backend-core/evam_backend_core/lifecycle.py` (`_CREDIT_PIPELINE`). Two consequences worth reading directly off it:

- `Sanctioned` **cannot** move to `Rejected` directly — its legal moves are `CP/CS Completed`, back to `Note Circulated`, or `On Hold`.
- `Rejected` is not a tomb: `Rejected → Data Awaited / Diligence` reopens the same line with its history intact.

Before the gates

A lead converts only when it is rated **Hot** and linked to a client — the register refuses anything else, loudly ("Lead is unrated; only a HOT lead converts"). Conversion is one transaction (`POST`

`/v1/leads/{id}/convert`): it creates the deal, the client, and the product lines that were ticked. A new lending line opens at `Data Awaited` — the entry allowlist (`INITIAL_STATUS`) refuses a line born mid-pipeline.

The desk then works the stage dropdown forward: `Diligence` when the file is being worked, `Note Circulated` when the credit note (CAM) exists. From `Note Circulated` onward, **the buttons do the moving** — a manual stage edit past a gate is refused with the allowed moves named.

Gate 1 — the credit committee (at Note Circulated)

The maker prepares the CAM in the workbench and hits **Send to credit committee**. While the run is in flight the line's workflow buttons lock — the file is with the committee. The decision arrives through the Today queue (Review → Approve / Reject, note required to reject). Enforced in `services/workflows/app/workflows.py` (`DealStructuringWorkflow`).

	On approval	On rejection (note mandatory)
Evidence	Committee reference and sanction letter reference filed as verified evidence on each approved line. Conditional approvals carry their conditions as evidence too.	<code>credit_committee_rejection</code> filed permanently, with the committee reference and the note.
Stage	Moves to <code>Sanctioned</code> .	Restored to the pre-request stage automatically — the workflow rolls each line back, so nobody hand-edits stages backwards.
Who hears	—	The RM gets an inbox notification with the decision note.
Next	The CP checklist opens.	File a revised credit note (a new version) → send to committee again. The loop repeats until approved, or the desk rejects the line itself.

The validity window. If the committee set `valid_days` , a monitor starts: a reminder fires 7 days before expiry, and a lapse files `sanction_expired` evidence with a critical alert — but the monitor **never moves the stage**. What happens to a lapsed sanction (re-table, extend, close) is a committee/RM call, made on the record the monitor created (`SanctionExpiryMonitorWorkflow`).

Gate 2 — the CP checklist (at Sanctioned)

Enter sanction terms seeds checklist v1 from the sanction letter. The maker decides every CP — the checklist will not submit with a required CP still `Pending`:

CP decision	What it requires	What it means
<code>Completed</code>	An evidence reference	The condition is satisfied and the record shows what satisfied it.
<code>Waived</code>	A reason	The condition is set aside, on the record.
<code>Deferred as CS</code>	An expiry date	The CP becomes a post-disbursement obligation, chased on the CS half.

The checker — **a different person**, on every verb (`services/register/app/api/cpcs.py` refuses self-approval, self-rejection and self-return alike) — sees the submitted checklist in the Today queue with two verbs. Two by design: the field decision was to keep Approve / Reject-with-a-note and let the maker amend from the note; the softer "return for revision" verb exists in the register's API but is deliberately not surfaced (`WorkflowDecisionDialog.tsx`).

	On approval	On rejection (note mandatory)
The checklist	Frozen as the decision record. The Conditions Precedent button locks — re-opening a settled checklist is how a settled condition gets re-typed.	Terminal for that version — it can be neither approved nor re-rejected, and it leaves the checker's queue. The note stays forever.
The evidence	The approved checklist is the evidence: the move to <code>CP/CS Completed</code> and the disbursement itself must cite it (<code>evidence.py::_verify_cpcs_checklist</code>).	None minted. <code>CP/CS Completed</code> stays unreachable until some version is approved.
Stage	Unmoved — still <code>Sanctioned</code> . The stage never moves on a checklist verdict.	Unmoved — still <code>Sanctioned</code> . Nothing to roll back, because nothing advanced.
Next	The CS half opens: receipts save straight onto the approved checklist — no new version, no second approval round, even after disbursement.	The CP button re-opens on the next version , prefilled with all prior work . Fix what the checker objected to, resubmit. Versions accumulate on the record.

When the CPs are genuinely unsatisfiable — rejected twice, the client cannot meet the conditions — the line does not stay parked at `Sanctioned` forever. The desk concludes it with the two-step walk-back (below).

Gate 3 — Disburse (after the CP approval)

One verb for the desk. It requires the proposed drawdown amount and date, moves the line to `Ready for Disbursement` **by citing the approved checklist** (the register's evidence gate refuses the move without it — the gate is the evidence, not the label), and sends the disbursement request with every CP *not* `Completed` (waived / deferred) spelled out in its note, so the partner sees exactly what is outstanding (`services/workflows/app/api.py::disburse`).

- The button is deliberately available from `Sanctioned`: a line whose CPs are approved but whose CS items are still being chased never reaches `CP/CS Completed`, and it must still disburse. The server-side evidence gate is what actually decides.

- Finalising for disbursement and the move to `Disbursed` are **senior-locked**: Admin, Management or Credit Head (`lifecycle.py::ROW_LOCKS`).
- On confirmation the line reaches `Disbursed` — the book's happy terminal. Later tranches (T2, T3, ...) are recorded through the same dialog until the facility is fully drawn, at which point the button closes itself ("Fully disbursed").
- The CS chase keeps running on the approved checklist — Today keeps reminding — until the **loan account opens in the LMS**. At handover the checklist freezes as a decision record and receipts move to the account's own register.

How a line concludes

Outcome	When	How
<code>Disbursed</code>	Money moved.	Gate 3, senior-approved. Terminal for the pipeline; servicing continues in the LMS.
<code>Rejected</code> (pre-sanction)	The proposal dies at <code>Data Awaited</code> / <code>Diligence</code> / <code>Note Circulated</code> .	One stage edit, reason in Remarks.
<code>Rejected</code> (post-sanction)	The sanction is dead: the client refuses it, the CPs are unsatisfiable after repeated rejections, the validity window lapsed.	The two-step walk-back : <code>Sanctioned</code> → <code>Note Circulated</code> (remark first), then <code>Note Circulated</code> → <code>Rejected</code> . A sanction is never "rejected" directly — rejection is a verdict on the <i>proposal</i> , so the file returns to the note stage and is rejected there, honestly.
<code>On Hold</code>	Stalled, outcome genuinely undecided.	Parking, not a terminal — resumes to any pipeline stage.
Reopened	The client comes back.	<code>Rejected</code> → <code>Data Awaited</code> / <code>Diligence</code> : same line, full history.

Closing the deal above the line

A deal closes only when its record owes no answers (`services/register/app/api/closure.py`): every product line at a terminal (`Disbursed` / `Rejected` for lending), no open EWS cases, no unresolved covenant breaches — `GET /v1/deals/{id}/open-items` lists anything still blocking. Then the close records the commercial verdict with a mandatory note:

Verdict	Funnel stage	Meaning
Won	<code>Closed Won</code>	The mandate was delivered.
Lost	<code>Closed Lost</code>	Evam wanted the deal and did not get it.
Dropped	<code>Dropped</code>	Evam walked away.

The third verb is deliberate: without it, the only governed way to record a walk-away would be to file it as a competitive loss — precisely the distortion the funnel exists to avoid.

The three rules that hold everywhere

1. **The stage never moves on a checklist verdict.** Committee decisions move stages; checklist decisions mint or refuse evidence. That is why a checklist rejection needs no rollback — nothing advanced.
2. **Every gate is four-eyed.** Maker and checker must be different people, and self-approval is refused server-side — on the committee decision, on every checklist verb, and on the disbursement handover.
3. **Every rejection is written down.** Mandatory notes, immutable evidence, versions that stay on the record. A revival is always a new version with its own cycle, never a resurrection.